Block Investor Presentation

investors.block.xyz

Q4 2024

Forward-looking statements

This presentation contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements can be identified by words such as “anticipate,” “believe,” estimate,” “expect,” “goal,” “intend,” “likely,” “may,” “plan,” “project,” “seek,” “should,” “strategy,” “will,” and similar expressions. All statements other than statements of historical fact could be deemed forward looking, including, but not limited to, statements regarding our financial objectives, our future performance and our market opportunity. These forward-looking statements are based on our management’s current beliefs, expectations, and assumptions regarding future events and are therefore subject to a number of known and unknown risks, uncertainties, assumptions, and other factors that may cause actual results, performance, or achievements to differ materially from results expressed or implied in this presentation. Investors are cautioned not to place undue reliance on these statements. Among the factors that could cause actual results to differ materially from those indicated in the forward-looking statements are risks and uncertainties described from time to time in the Company’s filings with the Securities and Exchange Commission. As of February 20, 2024, we have not filed our Form 10-K for the year ended December 31, 2024. As a result, all financial results in this presentation should be considered preliminary and are subject to change to reflect any necessary adjustments or changes in accounting estimates that are identified prior to the time we file our Form 10-K. All forward-looking statements are based on information and estimates available to the Company at the time of this presentation and are not guarantees of future performance. Except as required by law, we assume no obligation to update any of these forward-looking statements.

Non-GAAP Financial Measures

To supplement our financial information presented in accordance with generally accepted accounting principles in the United States (“GAAP”), we consider and present certain non-GAAP financial measures. These non-GAAP measures are presented in addition to, and not as a substitute for or superior to, measures of financial performance presented in accordance with GAAP. The non-GAAP measures used by the Company may differ from the non-GAAP measures used by other companies.

Information regarding our non-GAAP financial measures, including reconciliations from the nearest corresponding GAAP equivalent to these non-GAAP measures, are included in the Appendix to this presentation.

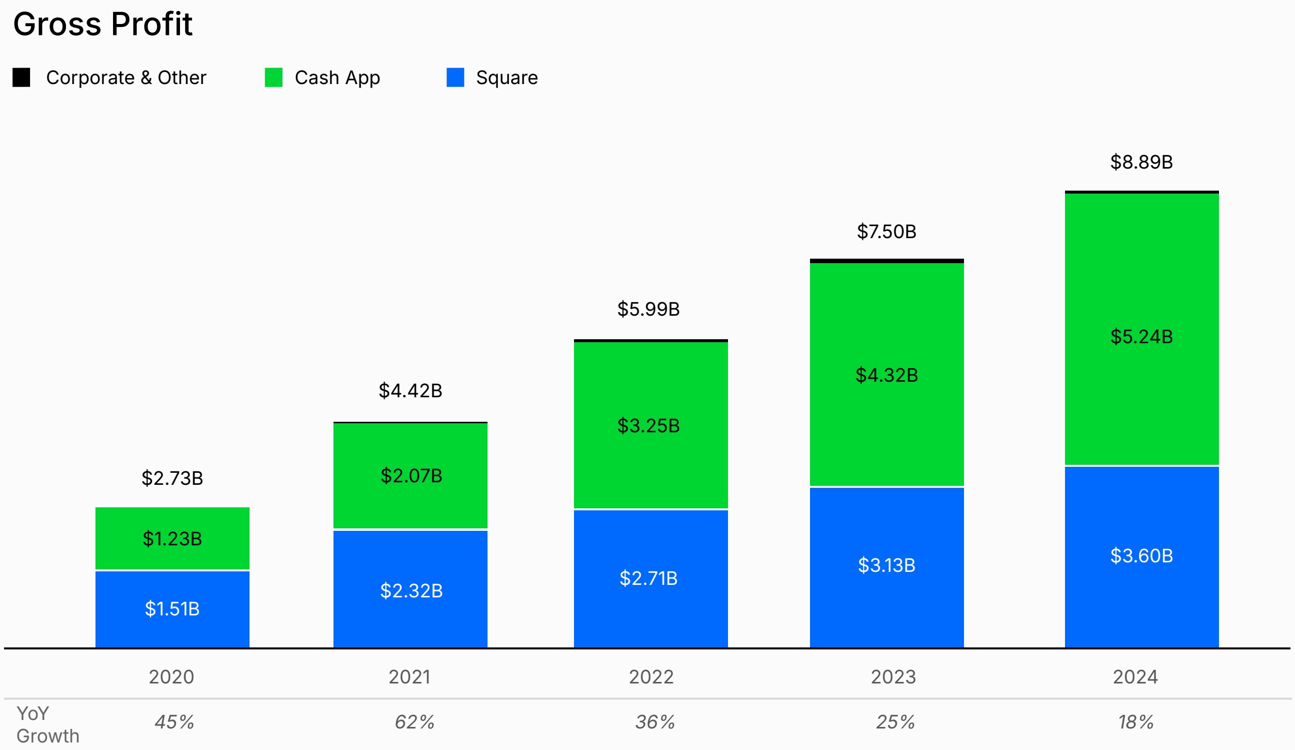
Block Financial Objectives

- **Drive consistent growth while ensuring profitability**: pursuing balance between delivering consistent growth without sacrificing profitability, setting the foundation for long-term success
- **Maximize gross profit**: committed to delivering positive gross profit retention across each ecosystem, reinforcing the value of our integrated, diversified portfolio
- **Achieve Rule of 40 in 2026**: targeting this benchmark in 2026, with plans to balance growth and profitability long-term[1]
- **Create value for shareholders:** focusing on enhancing shareholder returns through a disciplined capital return strategy, amplifying the long-term value of our business

[1] Rule of 40 is the sum of our gross profit growth and Adjusted Operating Income margin as a percent of gross profit. We may refer to a "Rule of" number other than 40 to refer to the sum of gross profit growth and Adjusted Operating Income margin as a percent of gross profit for the period given. Adjusted Operating Income (Loss) is a non-GAAP financial measure that represents our operating income (loss), adjusted to eliminate the effect of amortization of acquired technology assets; acquisition-related and integration costs; contingencies, restructuring and other charges; goodwill impairment; amortization of customer and other acquired intangible assets; and acquisition-related share-based acceleration costs.

Strong growth at scale in 2024

Strong year-over-year gross profit growth and 36% 5-year CAGR

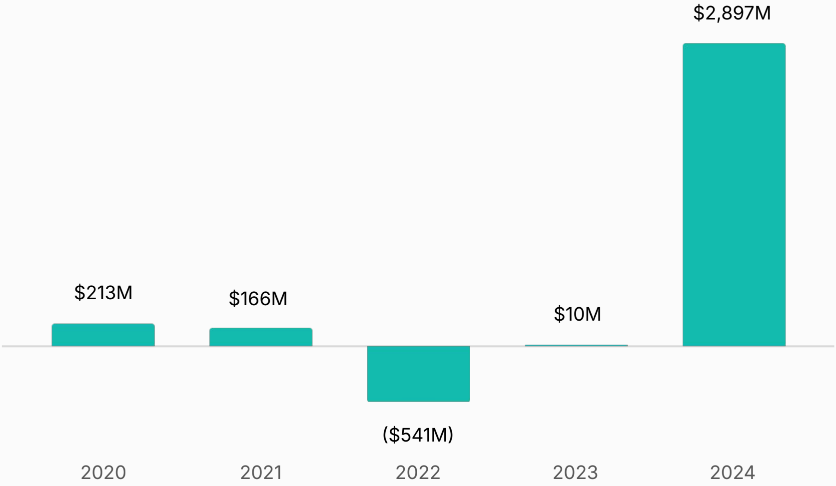


Please see the appendix for a definition of Corporate & Other gross profit. In the fourth quarter of 2023, we began reporting the financial results of our BNPL platform fully within Cash App, rather than allocating 50% of revenue and gross profit to each of Square and Cash App. The prior period segment financial information in this presentation has been revised to conform to the updated segment reporting.

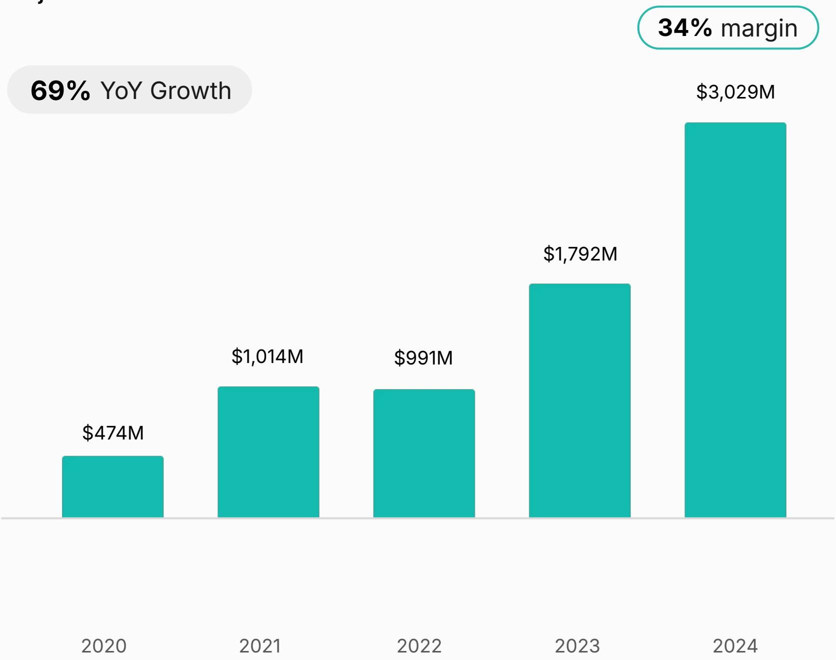
Significant growth in profitability in 2024

Net Income (Loss)*

*attributable to common stockholders



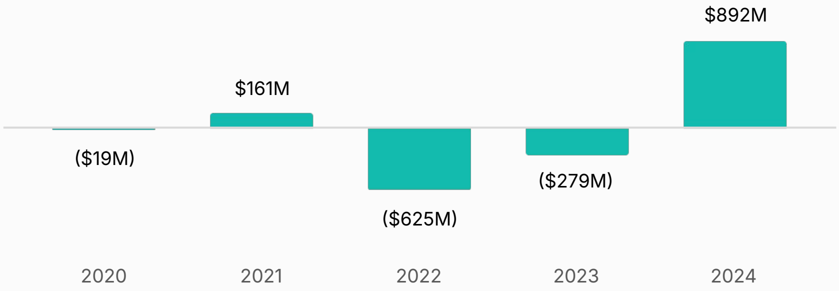
Adjusted EBITDA



Margins above are all calculated as a percent of gross profit. The net income results reported here for fiscal 2023 and 2024 reflect the impact of ASU No. 2023-08, Accounting for and Disclosure of Crypto Assets ("ASU 2023-08"), which we early adopted in the fourth quarter of 2023 using the modified retrospective approach. In 2024, net income included a remeasurement gain on our bitcoin investment of $421 million. In Q4 2024, net income includes one-time benefits from income taxes of $1.9 billion in fiscal 2024 related to both the release of the Company's valuation allowance associated with certain federal and state deferred tax assets as well as the recognition of deferred tax assets as part of internal legal entity restructuring efforts. Please see these reconciliations for a description of certain items that affected net income (loss) in 2024.

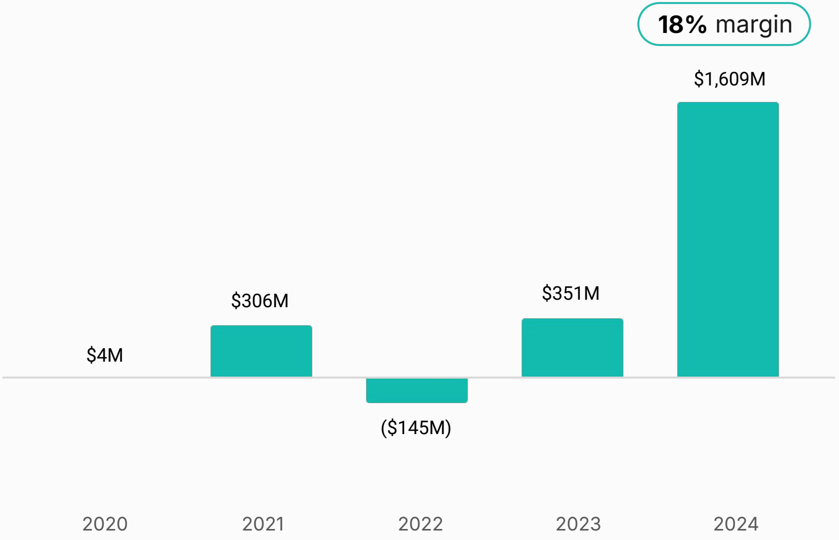
Significant growth in profitability in 2024

Operating Income (Loss)



Adjusted Operating Income (Loss)

~5x YoY Growth



Margins above are all calculated as a percent of gross profit. Please see these reconciliations for a description of certain items that affected operating income (loss) in 2024.

Q4 Key Messages

- **Strong Q4 results** as we delivered gross profit growth in line with our guidance at 14%, sustaining strong growth at scale to end 2024 while outperforming our profitability guidance
- **GPV growth accelerated in Q4** to 10% on a global basis and 6.9% in the U.S. due to a combination of improved same store growth and improved customer retention
- **Momentum on Cash App's Bank our Base strategy** with paycheck deposit actives growing 25% year over year to 2.5 million as we continued to increase the attach rate to Cash App Card actives and improve retention among our existing paycheck deposit actives
- **Key product launches** including Afterpay on Cash App Card and the rollout of our new single app for Square sellers
- **Continued investment in marketing** across both Square and Cash App in the fourth quarter
- **Growing engagement on Cash App** with gross profit per active of $76 in Q4 on an annualized basis, up 13% year-over-year
- **Expect strong gross profit growth in 2025** of at least 15% year over year, with growth for Cash App and Square expected to improve meaningfully in the back half of the year. We remain committed to achieving Rule of 40 in 2026 and expect to exit 2025 at or above Rule of 40 on a quarterly basis[1]

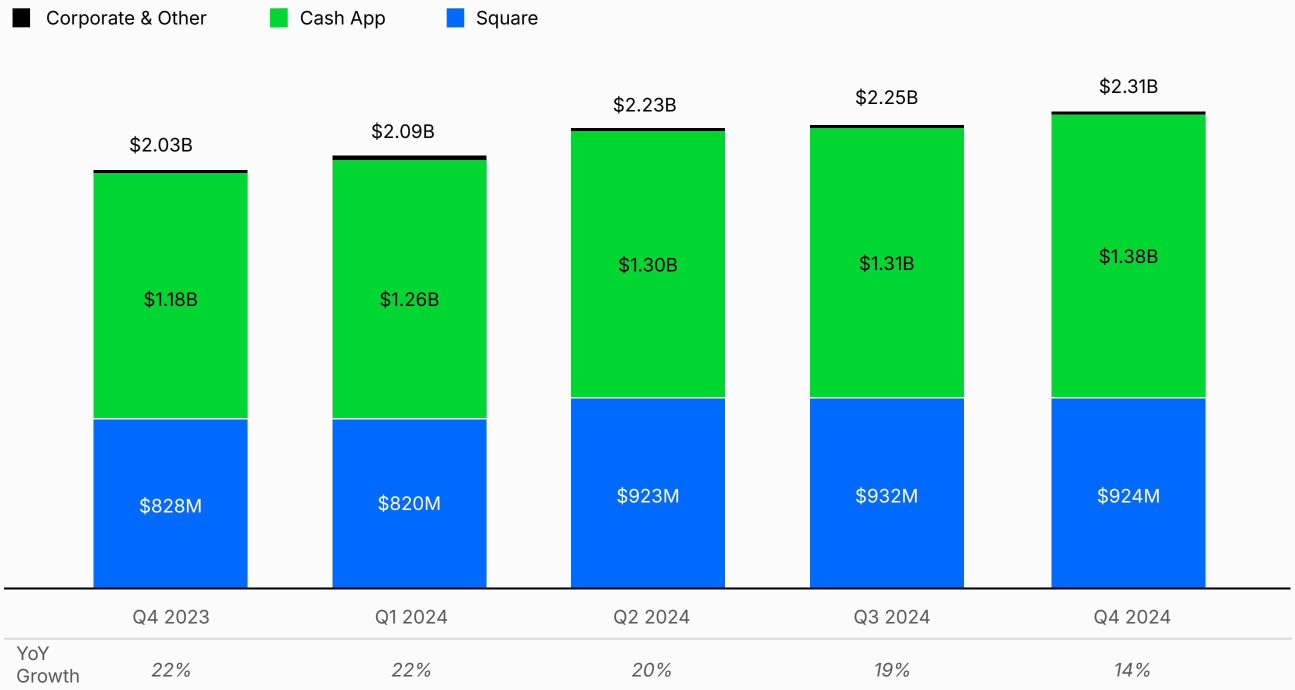
[1] Rule of 40 is the sum of our gross profit growth and Adjusted Operating Income margin as a percent of gross profit. Adjusted Operating Income (Loss) is a non-GAAP financial measure that represents our operating income (loss), adjusted to eliminate the effect of amortization of acquired technology assets; acquisition-related and integration costs; contingencies, restructuring and other charges; goodwill impairment; amortization of customer and other acquired intangible assets; and acquisition-related share-based acceleration costs.

Please see the appendix for definitions of gross profit per active.

Q4 Gross Profit

Strong year-over-year gross profit growth

Gross Profit

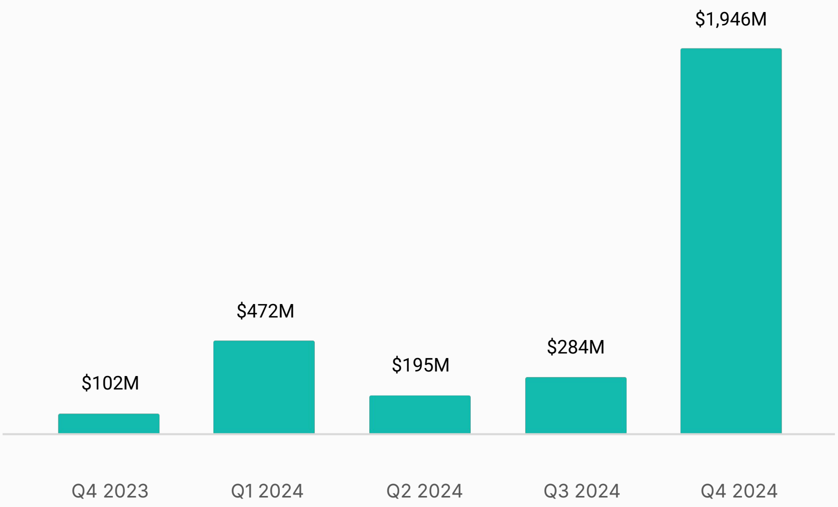


Please see the appendix for a definition of Corporate & Other gross profit.

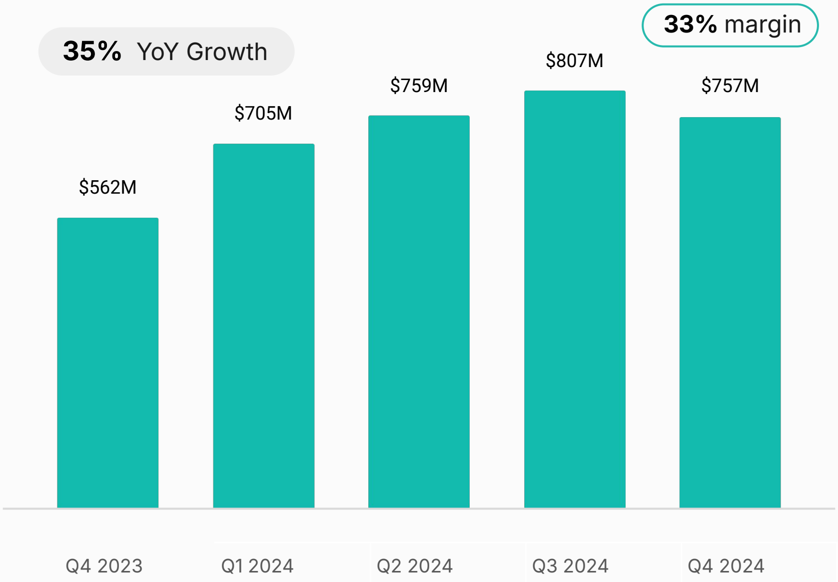
Q4 Profitability

Net Income (Loss)*

*attributable to common stockholders



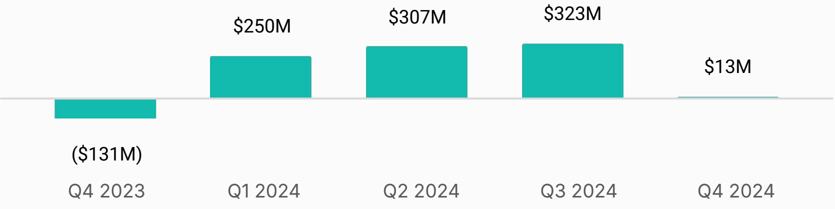
Adjusted EBITDA



Margins above are all calculated as a percent of gross profit. The quarterly net income results reported here reflect the impact of ASU No. 2023-08, Accounting for and Disclosure of Crypto Assets ("ASU 2023-08"), which we early adopted in the fourth quarter of 2023 using the modified retrospective approach. In the fourth quarter of 2024, net income included a remeasurement gain on our bitcoin investment of $252 million. In Q4 2024, net income includes one-time benefits from income taxes of $1.9 billion in fiscal 2024 related to both the release of the Company's valuation allowance associated with certain federal and state deferred tax assets as well as the recognition of deferred tax assets as part of internal legal entity restructuring efforts. Please see these reconciliations for a description of certain items that affected net income (loss) in the fourth quarter of 2024.

Q4 Profitability

Operating Income (Loss)



Adjusted Operating Income (Loss)

~2x YoY Growth

Margins above are all calculated as a percent of gross profit. Reconciliations of non-GAAP financial measures used in this presentation to their nearest GAAP equivalents are provided at the end of this presentation. Please see these reconciliations for a description of certain items that affected operating income (loss) in the fourth quarter of 2024. Operating income included contingencies, restructuring, and other costs, primarily related to accrued expenses in connection with certain litigation and regulatory matters.

Cash App

Bank our Base strategy

Cash App aims to become one of the top providers of financial services to households in the U.S. which earn up to $150k per year

Pillars of our strategy

- Expand access by launching best-in-class financial services and commerce products
- Earn customer trust by focusing on reliability, security, and support
- Drive awareness of our financial services offerings and benefits
- Launch the next generation of spending tools

How we measure success

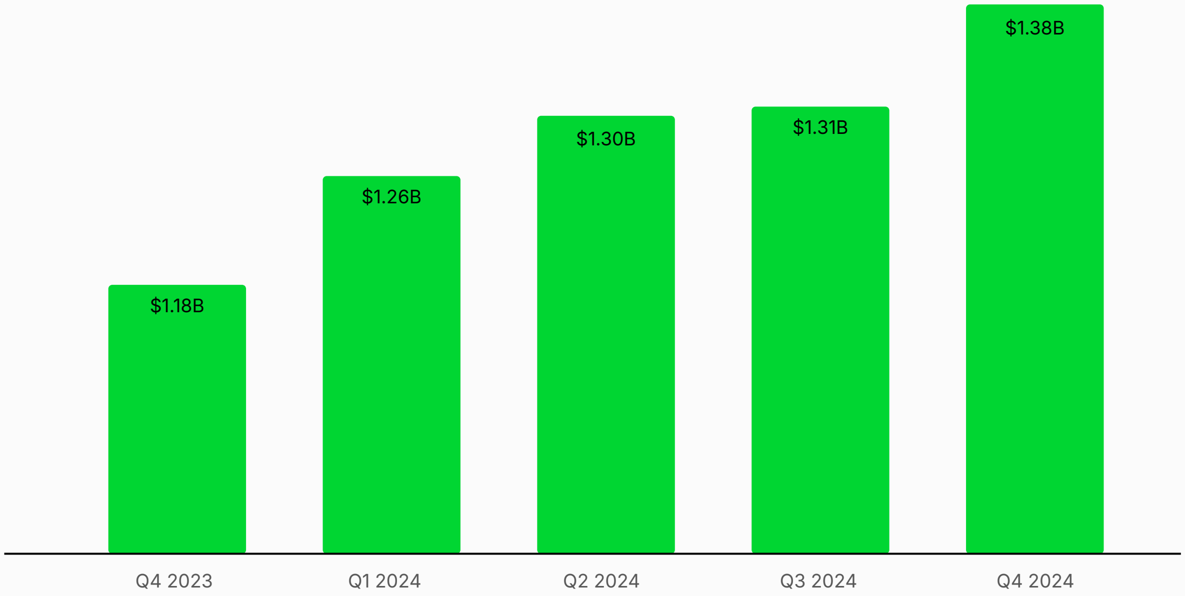
- **Increase gross profit per active**
- **Drive paycheck deposit adoption**

CASH APP

Continued strong growth at scale

Gross profit growth of 16% year over year driven by strong performance across Cash App Card, BNPL, and Cash App Borrow

Cash App Gross Profit



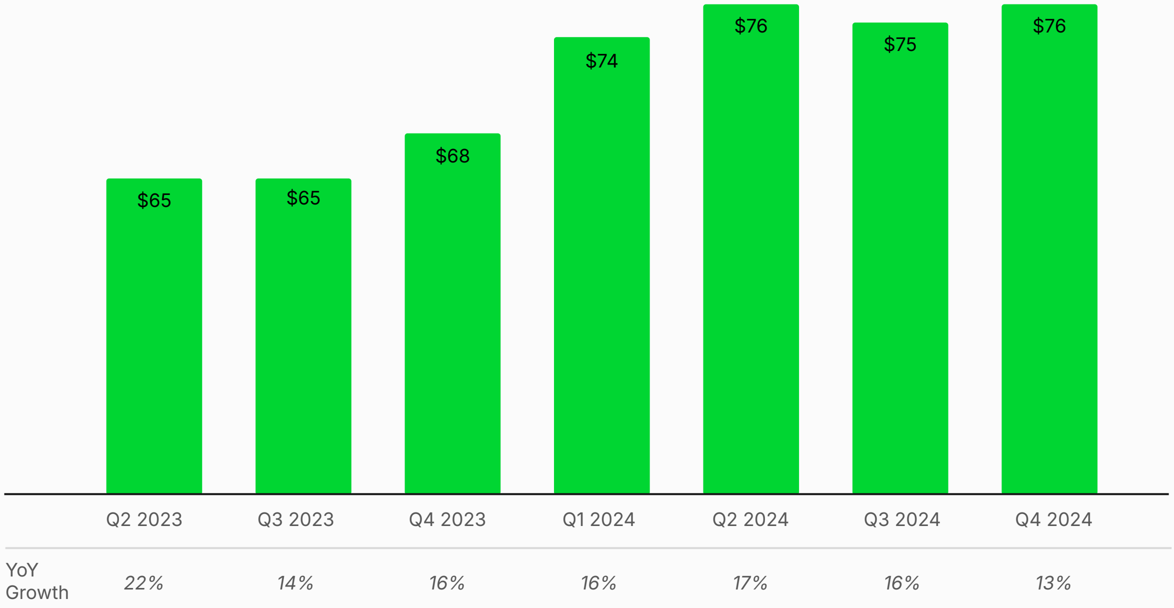
	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024
YoY Growth	*25%*	*25%*	*23%*	*21%*	*16%*

CASH APP

Driving greater engagement and monetization

Gross profit per monthly transacting active growth of 13% year over year in Q4

Cash App Gross Profit per Monthly Transacting Active Growth



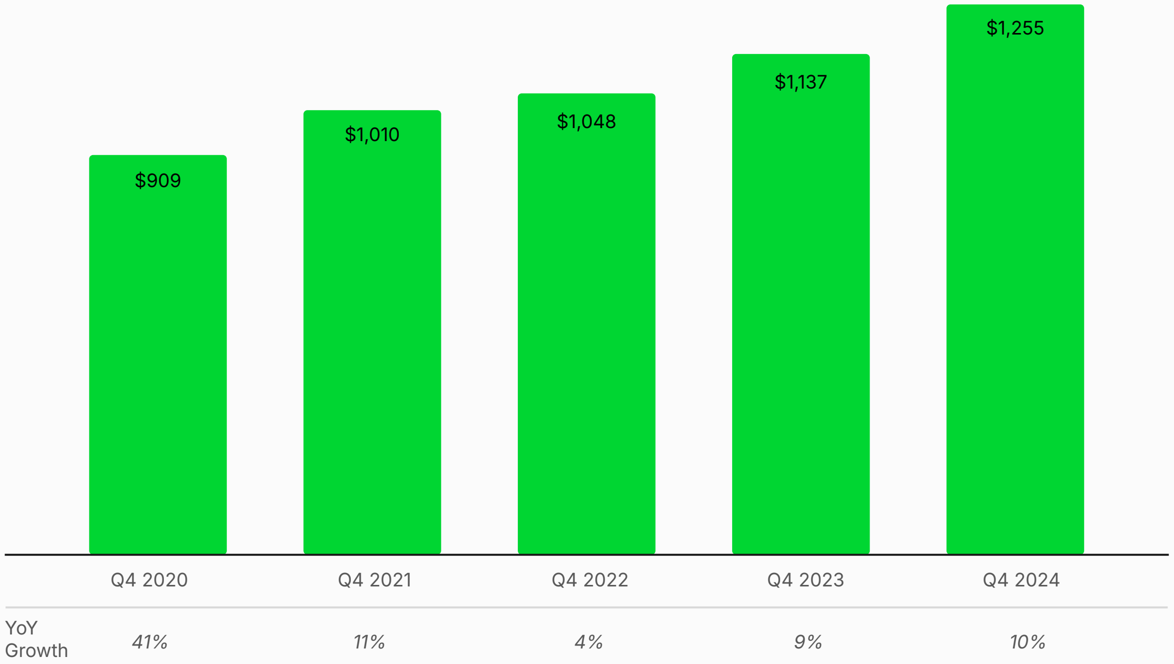
Please see the appendix for a definition of gross profit per monthly transacting active.

CASH APP

Driving greater engagement and monetization

Inflows per transacting active growth of 10% year over year in Q4

Cash App Inflows per Active

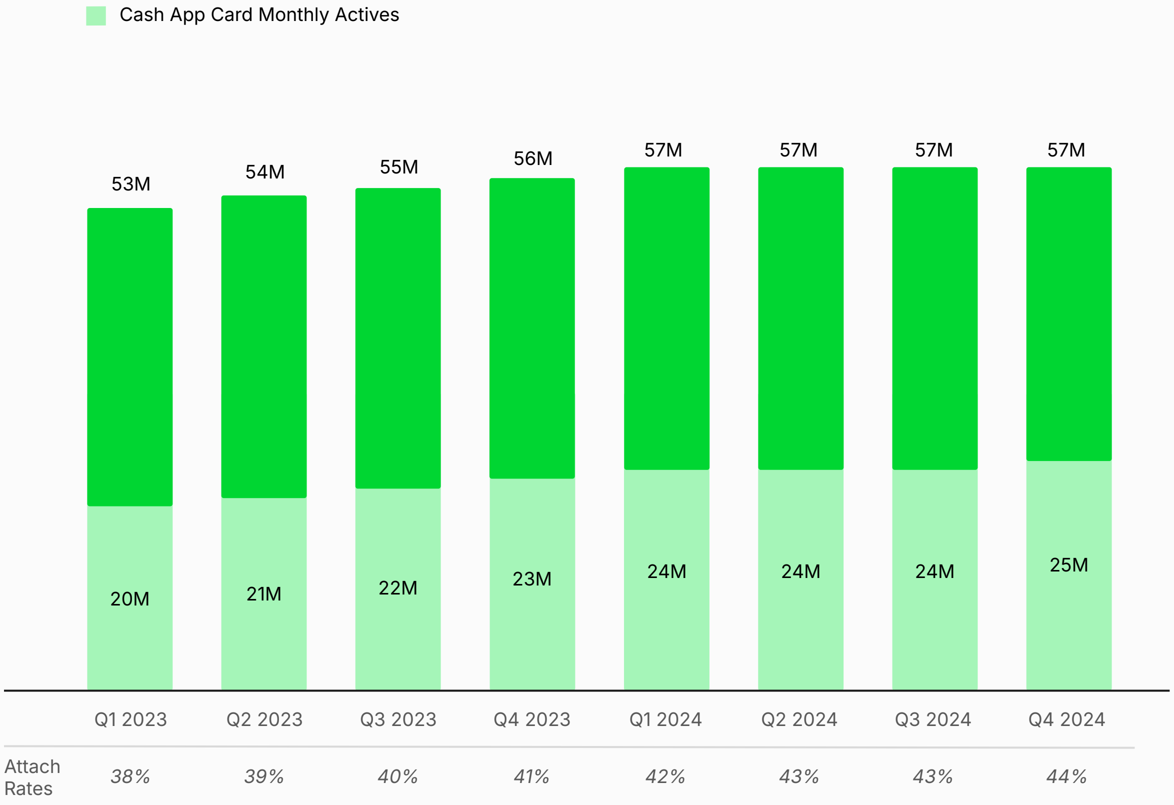


Please see the Appendix for a definition of inflows per transacting active.

CASH APP

Cash App Card actives growth

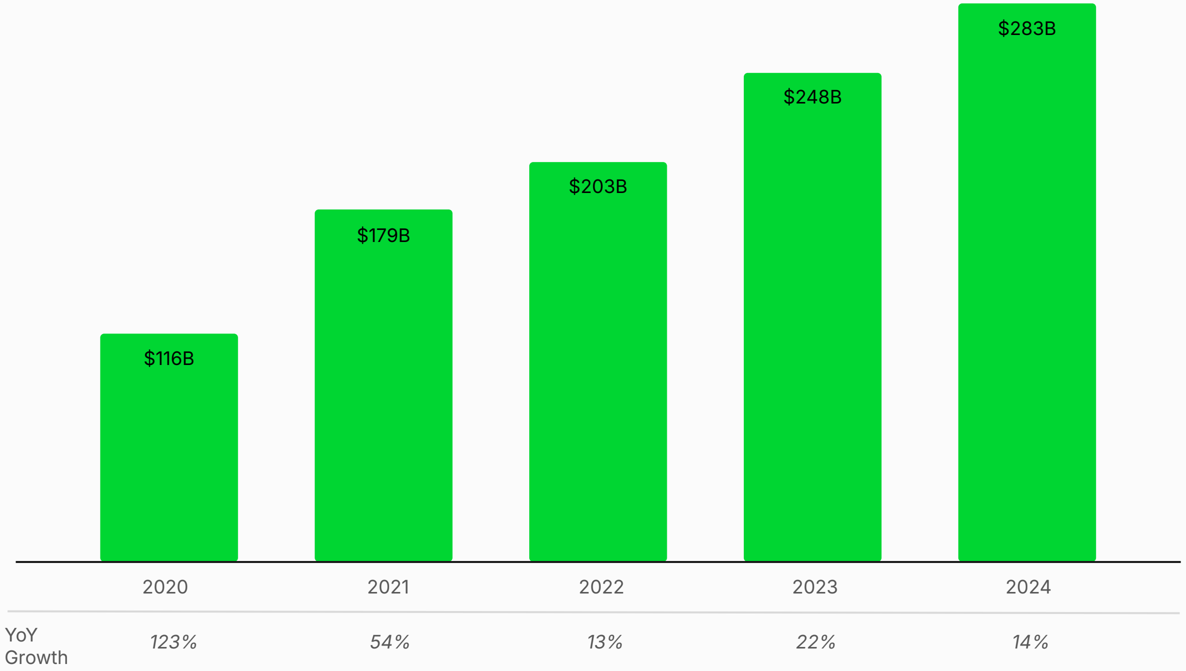
Cash App Card monthly actives have grown as a % of overall Cash App actives over time



CASH APP

Total inflows increased 14% year over year in 2024

Cash App Inflows

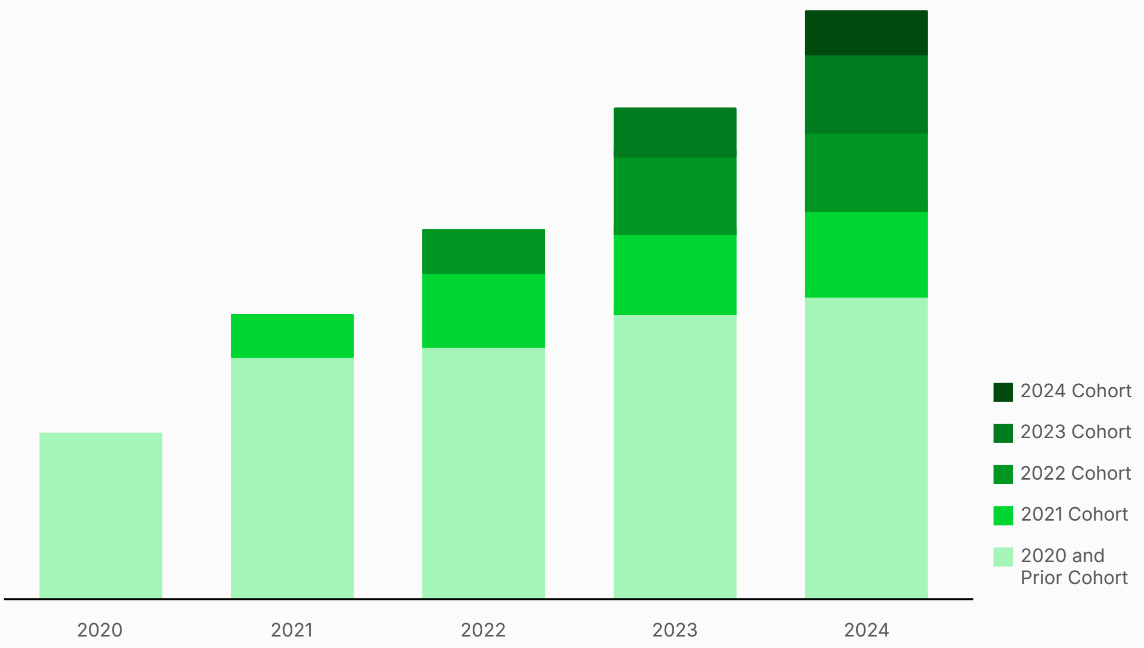


CASH APP

Strong gross profit retention has led to recurring revenue streams

Our Cash App ecosystem has achieved positive annual gross profit retention in aggregate and for each annual cohort

Cash App Gross Profit by Cohort



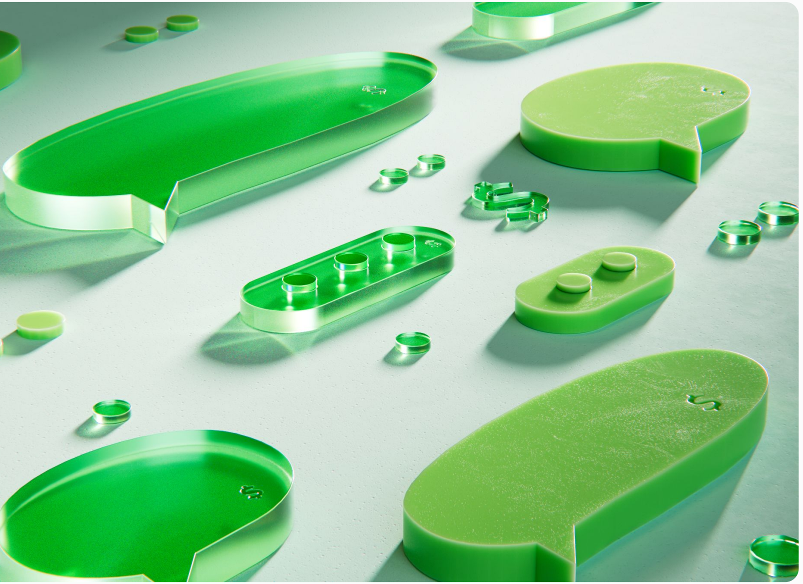
For definition of Cash App gross profit retention please see Appendix.

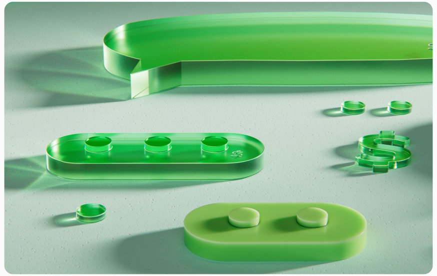
CASH APP

Actives scale across Cash App product areas

2.5M	6M	5M	25M
Paycheck Deposit Monthly Actives	Cash App Pay Monthly Actives	Cash App Borrow Monthly Actives	Cash App Card Monthly Actives

Data as of December 2024. Please see Appendix for a definition of Cash App actives.





"Love cash app just wished I would have signed up earlier instead of a couple of months ago - my daughter is the one who turned me on to it"

@Delana Jeffries | Facebook

"I fell in love with my card plus it came with stickers to put on the card - good stickers at that. Thank you Cash App!!!!"

@Precious Love | Facebook

"lol I didn't know the pink cash app card changes your cash app to pink!! I love it!!"

@Honey_Bew_Child | X

"I love borrow and overdraft coverage on Cash App. They really have peoples' backs!"

@bgs2106 | Reddit

"I used the cash app to file taxes. It was easy."

@Superfunpack | Reddit

AFTERPAY

We focused on driving healthy consumer behavior and repeat engagement

<1%

risk loss on Afterpay consumer receivables

>95%

of Afterpay GMV comes from returning customers

96%

of all installments were paid on time

98%

of all purchases incurred no late fees

Data for the quarter ending December 31, 2024. Afterpay installments paid on time are relatively consistent by region as on a global basis.

Square

Strategic priorities

Improve Square GPV growth through new product launches and go-to-market initiatives

- Building a rock solid and flexible platform
- Providing a local experience to sellers of all sizes
- Growing with artificial intelligence
- Finding more ways for our customers to bank with Square

Drive acquisition of new sellers

Increase retention of existing sellers

Pillars of our strategy

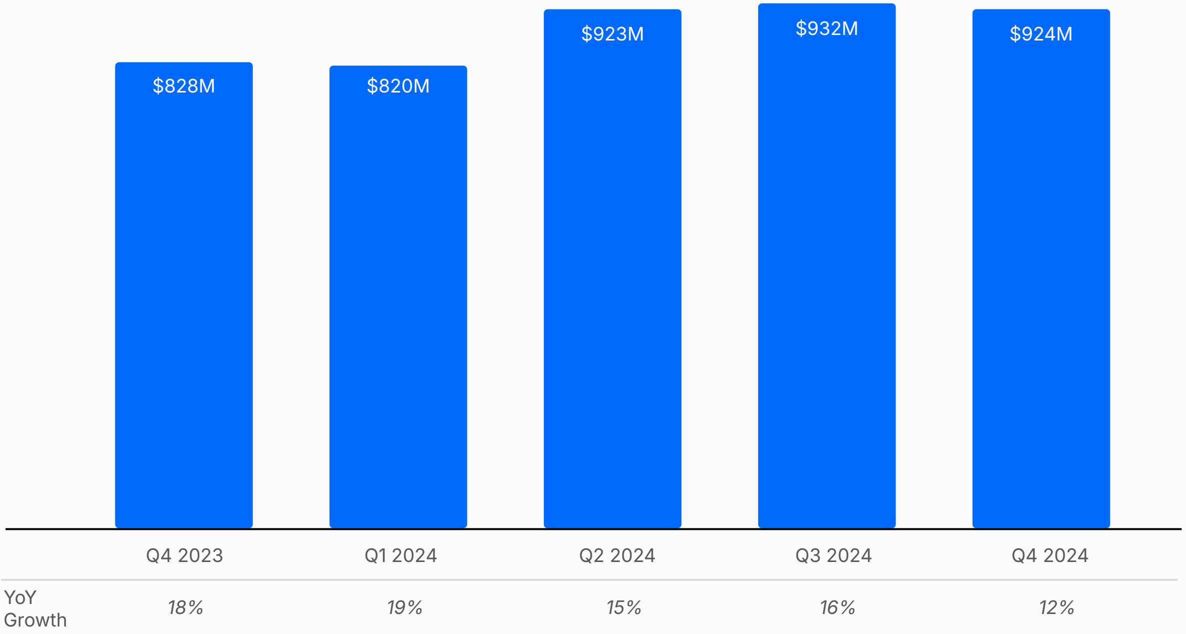
How we measure success

SQUARE

Continued strong growth at scale

Gross profit growth of 12% year over year driven by strength in our software and integrated payments and banking products

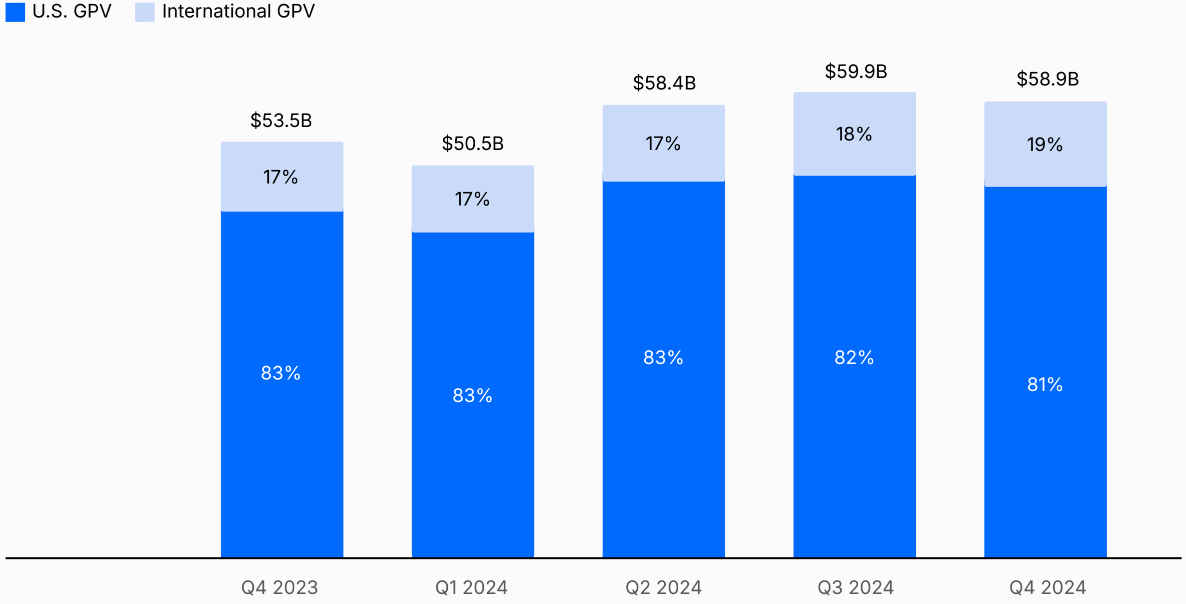
Square Gross Profit



SQUARE

Showing growth and diversity of geographies

Square GPV by Geography



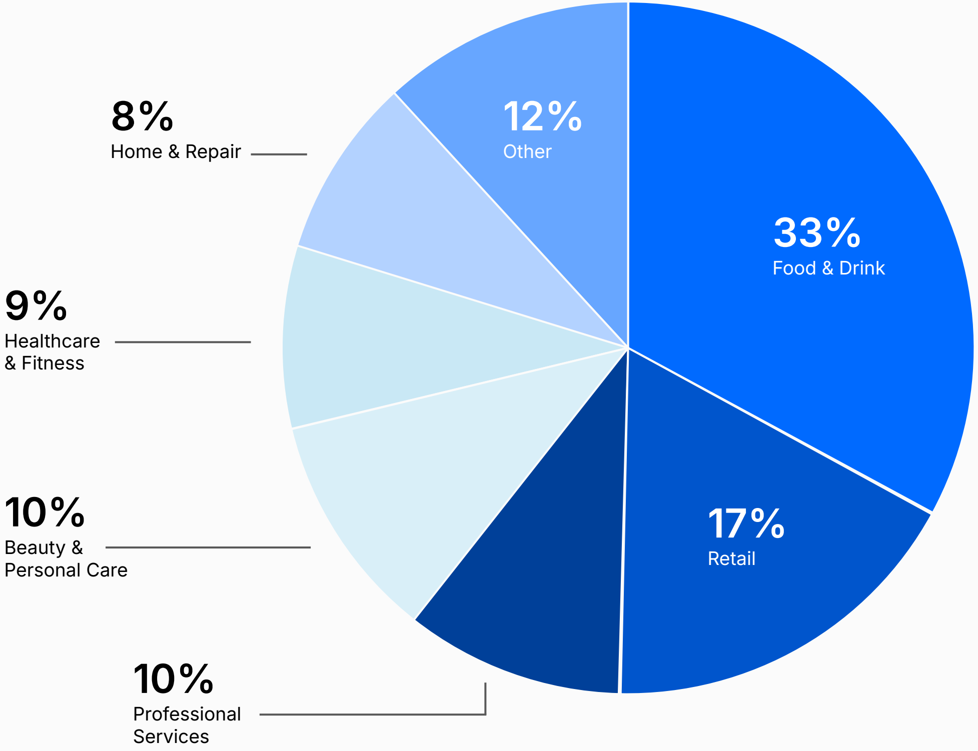
	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Overall*	*10%*	*9.2%*	*7.8%*	*7.5%*	*10%*
U.S. GPV*	*7.5%*	*6.5%*	*5.6%*	*4.9%*	*6.9%*
International GPV[1]*	*26%*	*23%*	*19%*	*20%*	*25%*

* Percentages show YoY growth for the period specified.
Please see the appendix for a definition of Square GPV.
[1] International GPV is shown on a reported basis.

SQUARE

Square sellers represent a diverse range of industries

% of Square Gross Payment Volume (GPV) by industry in 2024

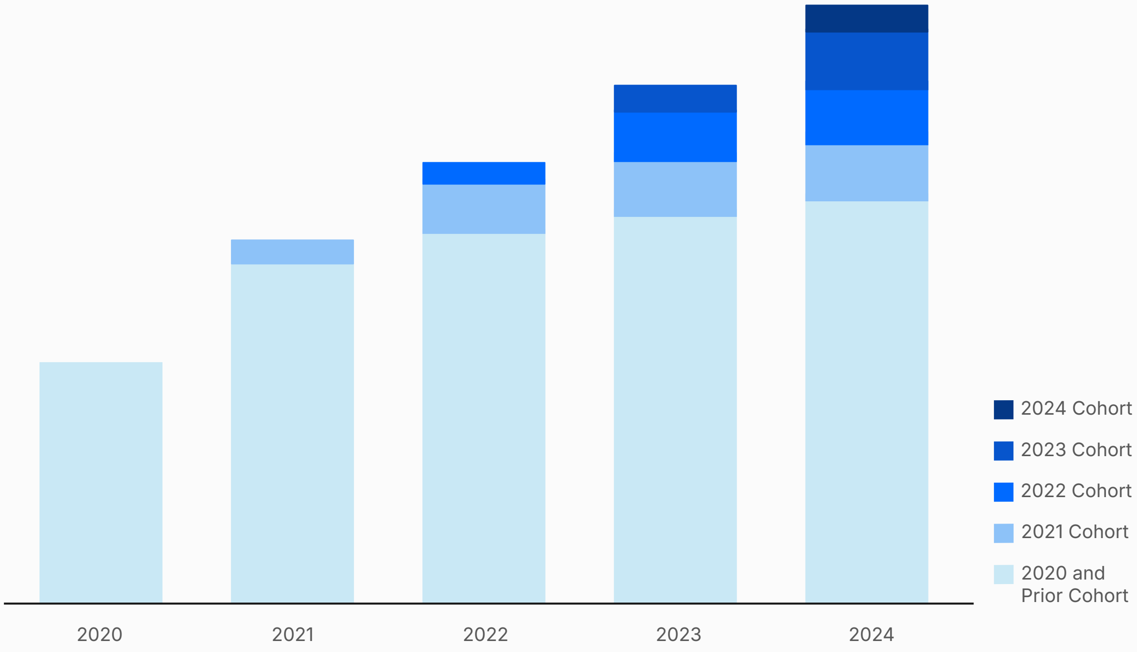


SQUARE

Positive dollar-based retention has led to recurring revenue streams

Similar to prior years, Square gross profit retention remained over 100% in 2024

Square Gross Profit by Cohort



For definition of Square "gross profit retention" please see Appendix.

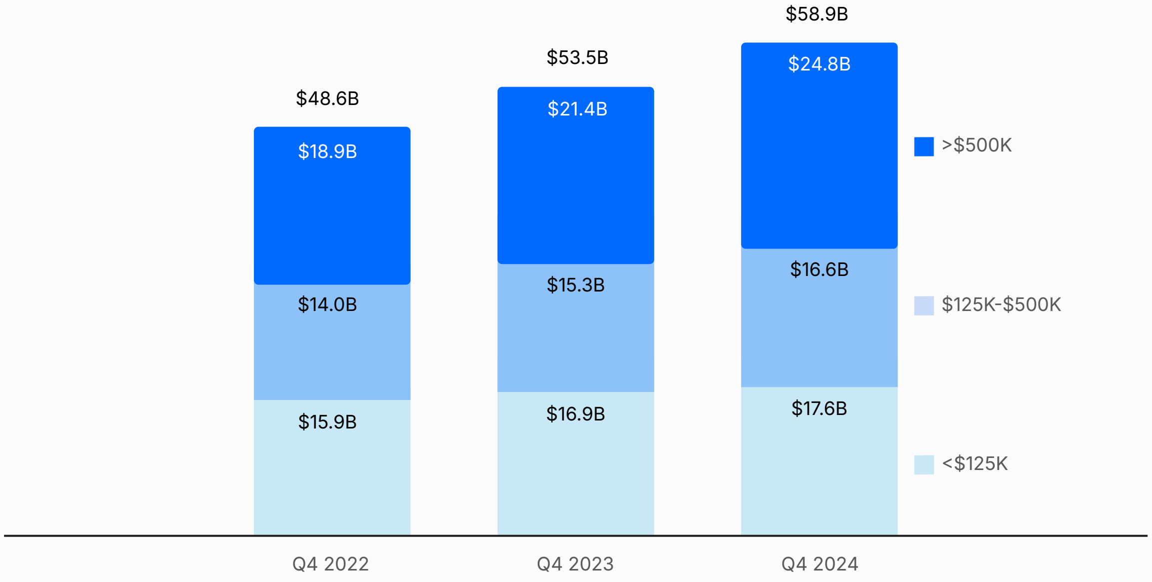
SQUARE

Upmarket progress

42%

GPV from mid-market sellers in Q4 2024

GPV by seller size



	Q4 2022	Q4 2023	Q4 2024
% mid-market sellers	*39%*	*40%*	*42%*

We determine seller size based on annualized Square GPV during the applicable quarter. A mid-market seller generates more than $500,000 in annualized GPV.

"If you don't have everything in one place, you have to hire multiple companies. It's more expensive. It's more time-consuming. And then everything's separate. What I like as a business owner is that everything's in [Square]...

Before we started using Square, our first year of sales was less than $30K. Then we opened our brick-and-mortar with Square, and we went to almost $200K our first year, then more than $400K. Now we're at $600K."

Patrick Clapp, co-owner of Coffeestamp in St. Louis, MO

2025 Full Year Guidance

For the full year, we expect at least 15% gross profit growth year over year, consistent with the initial outlook we shared in our third quarter shareholder letter, and despite an additional 50 basis points of FX headwinds since that initial outlook was provided. We expect to deliver Adjusted Operating Income of $2.1 billion, equating to a margin of approximately 21% on gross profit, which implies an initial expectation of Rule of 35.5 in 2025.

	2025
Gross Profit	$10.22B
YoY Growth	*15%*
Adjusted Operating Income	$2.10B
% Margin	*21%*
Rule of X	35.5%

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted Operating Income (Loss) or GAAP reconciliations of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as contingencies, restructuring and other charges. Accordingly, the Company has relied upon the exception in item 10(e)(1)(i)(B) of Regulation S-K to exclude such reconciliations, as the reconciliations of these non-GAAP guidance metrics to their corresponding GAAP equivalents are not available without unreasonable effort. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.

Q1 2025 Guidance

In the first quarter of 2025 we expect to deliver $2.32 billion of gross profit and $430 million of Adjusted Operating Income.

	Q1 2025
Gross Profit	$2.32B
YoY Growth	*11%*
Adjusted Operating Income	$430M
% Margin	*19%*
Rule of X	29.3%

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted Operating Income (Loss) or GAAP reconciliations of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as contingencies, restructuring and other charges. Accordingly, the Company has relied upon the exception in item 10(e)(1)(i)(B) of Regulation S-K to exclude such reconciliations, as the reconciliations of these non-GAAP guidance metrics to their corresponding GAAP equivalents are not available without unreasonable effort. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.

Appendix

Appendix

Slide 4

Corporate & Other includes primarily emerging initiatives and intersegment eliminations. In the fourth quarter of 2023, we began reporting the financial results of our BNPL platform fully within Cash App, rather than allocating 50% of revenue and gross profit to each of Square and Cash App. The prior period segment financial information in this presentation has been revised to conform to the updated segment reporting.

Slide 14

Gross profit per monthly transacting active is calculated based on Cash App annualized gross profit excluding our BNPL platform during a given quarter divided by the monthly transacting actives for the last month of the quarter. Gross profit for our BNPL platform was $92 million or $369 million on an annualized basis for Q1'22, $150 million or $599 million on an annualized basis for Q2'22, $150 million or $599 million on an annualized basis for Q3'22, $196 million or $786 million on an annualized basis for Q4'22, $157 million or $630 million on an annualized basis for Q1'23, $168 million or $674 million on an annualized basis for Q2'23, $187 million or $749 million on an annualized basis for Q3'23, $242 million or $968 million on an annualized basis for Q4'23, $208 million or $831 million on an annualized basis for Q1'24, $220 million or $881 million on an annualized basis for Q2'24, $242 million or $968 million on an annualized basis for Q3'24, and $298 million or $1.19 billion on an annualized basis for Q4'24.

A transacting active is a Cash App account that has at least one financial transaction using any product or service within Cash App during a specified period. A transacting active for a specific Cash App product has at least one financial transaction using that product during the specified period and is referred to as an active. Examples of transactions include sending or receiving a peer-to-peer payment, transferring money into or out of Cash App, making a purchase using Cash App Card, earning a dividend on a stock investment, and paying back a loan, among others. Certain of these accounts may share an alias identifier with one or more other transacting active accounts. This could represent, among other things, one customer with multiple accounts or multiple customers sharing one alias identifier (for example, families).

Slide 15

Inflows per transacting active refers to total inflows in the quarter divided by monthly actives for the last month of the quarter. Inflows refers to funds entering the Cash App ecosystem. Inflows does not include the movement of funds when funds remain in the Cash App ecosystem or when funds leave the Cash App ecosystem, or inflows related to the Afterpay or Verse apps. Inflows from Verse actives were not material to overall inflows.

Slide 18

Cash App annual gross profit retention is calculated as the year-over-year gross profit growth of all existing quarterly Cash App cohorts, averaged over the last four quarters, and excluding BNPL platform gross profit and contra revenue. A Cash App transacting active's cohort is determined based on the date they first became a transacting active on the platform. For example, retention for our 2019 cohort is the average annual gross profit growth from transacting actives who completed a first transaction in 2019. Each of our annual Cash App cohorts since 2020 have exhibited positive overall gross profit retention on aggregate from the date of their first transaction through December 31, 2024.

Appendix

Slide 25

Square GPV is defined as the total dollar amount of all card and bank payments processed by sellers using Square, net of refunds.

Slide 27

Square gross profit retention rate is calculated as the year-over-year gross profit growth of all existing quarterly seller cohorts, averaged over the last four quarters (excluding gross profit from hardware, Caviar, PPP loans, and Weebly prior to the acquisition). A Square cohort represents new sellers onboarded to Square during a given period.

Reconciliations (unaudited)

Adjusted Operating Income
(in thousands, except for percentages)

	THREE MONTHS ENDED				
	Dec. 31, 2024	**Dec. 31, 2023**	**Mar. 31, 2024**	**June 30, 2024**	**Sept. 30, 2024**
Operating income (loss)	$ 13,013	$ (130,652)	$ 249,743	$ 306,562	$ 323,009
Amortization of acquired technology assets	15,562	18,049	18,027	17,589	17,186
Acquisition-related and integration costs	549	5,118	32,512	15,350	608
Contingencies, restructuring and other charges	202,885	117,174	14,063	18,804	66,694
Restructuring share-based compensation expense	1,434	—	6,637	—	—
Goodwill and intangible asset impairment	133,854	132,313	—	—	—
Amortization of customer and other acquired intangible assets	34,593	43,127	43,282	40,813	36,021
Adjusted Operating Income	$ 401,890	$ 185,129	$ 364,264	$ 399,118	$ 443,518
Adjusted Operating Income margin (%) of gross profit	17 %	9 %	17 %	18 %	20 %

Reconciliations (unaudited)

Adjusted Operating Income
(in thousands, except for percentages)

	TWELVE MONTHS ENDED				
	Dec. 31, 2024	**Dec. 31, 2023**	**Dec. 31, 2022**	**Dec. 31, 2021**	**Dec. 31, 2020**
Operating income (loss)	$ 892,327	$ (278,839)	$ (624,532)	$ 161,112	$ (18,815)
Amortization of acquired technology assets	68,364	72,829	70,194	22,645	11,174
Acquisition-related and integration costs	49,019	11,422	105,518	15,474	7,482
Contingencies, restructuring and other charges	302,446	239,582	51,746	20,000	—
Restructuring share-based compensation expense	8,071	—	—	—	—
Goodwill and intangible asset impairment	133,854	132,313	—	—	—
Bitcoin impairment losses	—	—	46,571	71,126	—
Amortization of customer and other acquired intangible assets	154,709	174,044	138,758	15,747	3,855
Acquisition-related share-based acceleration costs	—	—	66,337	—	—
Adjusted Operating Income (Loss)	$ 1,608,790	$ 351,351	$ (145,408)	$ 306,104	$ 3,696
Adjusted Operating Income (Loss) margin (%) of gross profit	18 %	5 %	(2)%	7 %	0 %

Reconciliations (unaudited)

Adjusted EBITDA
(in thousands, except for percentages)

	THREE MONTHS ENDED				
	Dec. 31, 2024	Dec. 31, 2023	Mar. 31, 2024	June 30, 2024	Sept. 30, 2024
Net income attributable to common stockholders	$ 1,946,020	$ 102,236	$ 472,005	$ 195,268	$ 283,754
Net loss attributable to noncontrolling interests	(21,351)	(20,266)	(1,185)	(5,396)	(2,618)
Net income	1,924,669	81,970	470,820	189,872	281,136
Share-based compensation expense	315,532	331,568	304,531	320,368	324,055
Restructuring share-based compensation expense	1,434	—	6,637	—	—
Depreciation and amortization	88,878	105,324	97,640	96,903	92,706
Acquisition-related and integration costs	549	5,118	32,512	15,350	608
Contingencies, restructuring and other charges	202,885	117,174	14,063	18,804	66,694
Goodwill and intangible asset impairment	133,854	132,313	—	—	—
Interest expense (income), net	16,107	(18,701)	(18,745)	(1,871)	13,811
Remeasurement loss (gain) on bitcoin investment	(252,342)	(123,156)	(233,404)	70,116	(5,288)
Other expense (income), net	(28,546)	(10,879)	(4,420)	(10,584)	(9,661)
Bitcoin impairment losses	—	—	—	—	—
Provision for (benefit from) income taxes	(1,646,875)	(59,886)	35,492	59,029	43,011
Loss (gain) on disposal of property and equipment	850	1,297	(71)	1,471	384
Impairment of intangible assets	—	—	—	—	—
Acquired deferred revenue and cost adjustment	14	21	19	18	16
Adjusted EBITDA	$ 757,009	562,163	705,074	759,476	807,472
Adjusted EBITDA margin (%) of gross profit	33 %	28 %	34 %	34 %	36 %

Reconciliations (unaudited)

Adjusted EBITDA
(in thousands, except for percentages)

	TWELVE MONTHS ENDED				
	Dec. 31, 2024	**Dec. 31, 2023**	**Dec. 31, 2022**	**Dec. 31, 2021**	**Dec. 31, 2020**
Net income (loss) attributable to common stockholders	$ 2,897,047	$ 9,772	$ (540,747)	$ 166,284	$ 213,105
Net loss attributable to noncontrolling interests	(30,550)	(30,896)	(12,258)	(7,458)	—
Net income (loss)	2,866,497	(21,124)	(553,005)	158,826	213,105
Share-based compensation expense	1,264,486	1,276,097	1,069,289	608,042	397,500
Restructuring share-based compensation expense	8,071	—	—	—	—
Depreciation and amortization	376,127	408,560	340,523	134,756	84,212
Acquisition-related and integration costs	49,019	11,422	105,518	15,474	7,482
Contingencies, restructuring and other charges	302,446	239,582	51,746	20,000	—
Goodwill and intangible asset impairment	133,854	132,313	—	—	—
Interest expense (income), net	9,302	(47,221)	36,228	33,124	56,943
Remeasurement gain on bitcoin investment	(420,918)	(207,084)	—	—	—
Other expense (income), net	(53,211)	4,609	(95,443)	(29,474)	(291,725)
Bitcoin impairment losses	—	—	46,571	71,126	—
Provision for (benefit from) income taxes	(1,509,343)	(8,019)	(12,312)	(1,364)	2,862
Loss on disposal of property and equipment	2,634	3,186	1,619	2,633	2,570
Impairment of intangible assets	—	—	—	—	—
Acquired deferred revenue and cost adjustment	67	99	230	514	1,122
Adjusted EBITDA	$ 3,029,031	1,792,420	990,964	1,013,657	474,071
Adjusted EBITDA margin (%) of gross profit	34 %	24 %	17 %	23 %	17 %